

OCTOBER 2026

Ritts Wedding Sleeve – Version 6 at \$1,500 (“RWS V6-S”)

RWS V6-S runs the V6 process on \$1,500 of starting capital: three dated tranches, an event rule that keeps every line out of its own earnings print, vol-value, liquidity and delta screens, and a 25% ticket cap, now \$375. Five lines and 6 contracts survive; the book is 19% deployed on October 5, 52% after October 22 and 92% after November 5, with exits on November 16 and November 25⁽¹⁾

\$1,500

starting capital

\$1,375 deployed in 6 contracts across 5 lines; \$125 cash

+1009%

Gamma Upside Case return on book

+ \$15,141; Base +63%, Bull +468%; vol-normalized⁽³⁾

-68%

Flat Case return on book

-\$1,021; a hedged variant (+137% in the Shock Case) is on page 3

What Changes at \$1,500⁽²⁾

(the V6 rules do not move; the ticket cap does, and it decides which names survive)

- The ticket cap does the selecting. V6's rule is that no contract may exceed 25% of the book at its entry price. At \$5,000 that is \$1,250; at \$1,500 it is \$375. At a \$375 cap, 26 contract-and-tranche combinations clear the delta, liquidity and volatility-value screens; the event rule leaves 17, across seven names (GDX, NVDA, RTX, GLD, DRAM, BA and the SPY put).
- Dropped by price: VRT (\$723), SKHY (\$473), CEG (\$686), GEV, AMD, MU and MRVL, plus every contract on LMT, NOC and LHX that had already failed on liquidity. The AI power sleeve is therefore empty; memory / AI compute, gold and defense remain.
- Dropped by the event rule: RTX, BA and INTC cannot be bought in Tranche 1 (they report Oct 20, Oct 27 and Oct 22 inside the hold); NVDA cannot be held to the Nov 25 exit (reports Nov 18); DRAM waits for SK hynix (late October). The tranche each name sits in is therefore forced, not chosen.
- Whole contracts are the unit. A line is one or two contracts of one strike. The search is exhaustive over every combination that satisfies the constraints (a line cap of 30% / \$450, a sleeve cap of 40% / \$600, at least four lines and three sleeves, 8% cash), maximizing the mean of the Base, Bull and Gamma Upside P&L on the vol-normalized ladder.
- The hedge is priced out. V6 spends 7% on a SPY December put. The cheapest passing put here (the 690, 0.08 delta) is \$265, 18% of the book, and a hedged book (page 3) gives up 33% of Base Case return for it. The primary book is unhedged; the hedged book is shown as a variant.

Please reference the Endnotes for sourcing and methodology. (1) Tranche 1 contracts expire Nov 20 and are marked Nov 16 at 4 days to expiry; Tranche 2 and 3 contracts expire Dec 18 and are marked Nov 25 at 23 days to expiry. (2) Quotes are the Oct 2 close, except the SPY puts, quoted live on Oct 5. Tranche 1 fills on Oct 5 will differ from the model entry prices; re-quote before ordering. The strategy and its January 2026 realized precedent are described in the RWS V6 memo (introduction and addendum).

Staged Book⁽²⁾

(Oct 2 quotes; Tranche 2 and 3 entry prices are indicative at the tranche date with spot unchanged)

Tr.	Entry	Leg	Exp.	Ctr	Sleeve	Quoted mid	Entry \$/ctr	Delta	IV	IV/HV	Gamma/\$100	Open int.	Deployed
T1	10/05	NVDA 260C	Nov 20	1	Memory / AI compute	3.15	\$288	+0.20	34%	1.06	1.84	24,287	\$288
Tranche 1 subtotal													\$288
T2	10/22	GDX 100C	Dec 18	1	Gold / real-asset	2.69	\$187	+0.23	44%	0.85	0.81	37,301	\$187
T2	10/22	RTX 200C	Dec 18	1	Defense / geopolitics	4.15	\$299	+0.27	25%	0.91	2.06	1,203	\$299
Tranche 2 subtotal													\$486
T3	11/05	DRAM 75C	Dec 18	2	Memory / AI compute	2.63	\$127	+0.20	58%	0.76	0.69	10,844	\$254
T3	11/05	GLD 410C	Dec 18	1	Gold / real-asset	7.05	\$346	+0.21	23%	0.94	4.09	8,826	\$346
Tranche 3 subtotal													\$600
Cash													\$125
Total													\$1,500

Gamma/\$100 is the dollar P&L from the second-order term of a 1% move per \$100 of premium, the ranking statistic of the V3-V6 process. Calls are in 0.20–0.27 delta; implied volatility is below one-year realized in GDX, RTX, DRAM and GLD and at value in NVDA.

Why These Five

- NVDA 260C (Nov 20, bought 10/05). Deepest market; reports Nov 18, after the Nov 16 exit; 13-week momentum +19%.
- GDX 100C (Dec 18, bought 10/22). Miners as gold beta; IV 0.85x realized; cheapest ticket in the screen; no dated event.
- RTX 200C (Dec 18, bought 10/22). Bought after the Oct 20 print; record backlog; post-midterm Iran optionality.
- DRAM 75C x2 (Dec 18, bought 11/05). Memory basket (MU largest holding); IV 0.76x realized; bought after SK hynix.
- GLD 410C (Dec 18, bought 11/05). Gold IV 0.94x realized; no dated event; Iran / Hormuz and rates-stress hedge.

Premium at Risk Through the Calendar

Date	Event	Lines held	Premium at risk	% of book	Book theta / day
10/05	Oct 5 entry T1	1	\$288	19%	-9
10/14	Oct 14 CPI	1	\$288	19%	-9
10/21	Oct 20-22 RTX/VRT/LMT prints	1	\$288	19%	-9
10/22	Oct 22 entry T2	3	\$774	52%	-19
10/28	Oct 28 FOMC	3	\$774	52%	-18
11/03	Nov 3 midterms	3	\$774	52%	-17
11/05	Nov 5 entry T3	5	\$1,375	92%	-36
11/16	Nov 16 exit T1	5	\$1,375	92%	-30
11/25	Nov 25 exit T2/T3	4	\$1,086	72%	-28

One contract (\$288) is at risk through the October 14 CPI and the first defense prints; \$774 through the FOMC and the midterms; the full \$1,375 only for the last three weeks of the window.

Scenario Ladder⁽³⁾

(each leg marked at its own exit; moves are multiples of the leg's own standard deviation over its own hold, at entry IV; Shock is -2 s.d. with IV +10 points)

Leg (ctr)	Hold	1 s.d.	Flat	Base (+1 s.d.)	Bull (+2 s.d.)	Gamma (+3 s.d.)	Shock (-2 s.d., IV +10)
NVDA 260C (x1)	42d	11.5%	-288	+8 (+3%)	+2,233 (+774%)	+4,906 (+1701%)	-288
GDX 100C (x1)	34d	13.5%	-143	+156 (+84%)	+905 (+484%)	+1,954 (+1045%)	-187
RTX 200C (x1)	34d	7.8%	-212	+267 (+89%)	+1,334 (+446%)	+2,709 (+906%)	-297
DRAM 75C (x2)	20d	13.5%	-163	+218 (+86%)	+1,091 (+429%)	+2,399 (+945%)	-253
GLD 410C (x1)	20d	5.3%	-216	+293 (+85%)	+1,459 (+421%)	+3,173 (+916%)	-331
Book			-1,021	+943	+7,021	+15,141	-1,357

Scenario	Primary: P&L	Ending value	Primary: return	Hedged variant	V6 at \$5,000 (ref.)
Flat (0%, entry IV)	-1,021	\$479	-68.1%	-70.6%	-69.7%
Base (+1 s.d. per leg)	+943	\$2,443	+62.9%	+30.0%	+59.0%
Bull (+2 s.d. per leg)	+7,021	\$8,521	+468.1%	+370.0%	+413.5%
Gamma Upside (+3 s.d. per leg)	+15,141	\$16,641	+1009.4%	+825.4%	+856.6%
Shock (-2 s.d., IV +10 pts)	-1,357	\$143	-90.4%	+136.6%	-11.7%
Standing ladder: Base +18% uniform	+7,544	\$9,044	+503.0%	+425.4%	+268.3%
Standing: Bull +18% + 1 s.d.	+15,505	\$17,005	+1033.6%	+887.5%	+667.0%
Standing: Gamma +18% + 2 s.d.	+24,161	\$25,661	+1610.7%	+1381.4%	+1123.6%

Hedged variant: NVDA 260C x1 (Nov 20, \$288), GDX 100C x1 (Dec 18, \$187), SPY 690P x1 (Dec 18, \$265), BA 215C x1 (Dec 18, \$292), GLD 410C x1 (Dec 18, \$346). It drops the RTX and DRAM lines of the primary book and adds the SPY 690 put and BA 215C; deployed \$1,379. Standing-ladder rows use the V3-V5 uniform +18% on every leg; on that ladder the low-IV legs (GLD, RTX, BA) print 2-3 standard deviations, which is why those rows sit far above the normalized ones.

Past performance does not predict future returns. This sleeve is subject to the risk of capital loss and the premium paid may be lost in full. The modeled figures presented herein are hypothetical, are provided for illustrative purposes only and are not a forecast of any outcome.

Flat Case: Volatility Re-rate Needed for +5% / +10%

Exit mark	Lines held	Flat return (entry IV)	IV rise for +5%	IV rise for +10%
Nov 16	5	-50.7%	+12 pts	+13 pts
Nov 25	4	-48.9%	+16 pts	+17 pts

Backtest and Screen Results⁽⁴⁾

(overlapping windows from two years of weekly closes; window = the leg's hold in weeks; thresholds are the leg's own +1 / +2 / +3 s.d.)

Leg	Weeks	n	1y realized	Entry IV	Mean	Median	Max	Min	Hit +1 s.d.	Hit +2 s.d.	Hit +3 s.d.	Hit -2 s.d.
NVDA 260C	6	99	32%	34%	+3.7%	+1.4%	+44%	-30%	24%	7%	1%	1%
GDX 100C	5	100	52%	44%	+5.0%	+4.9%	+44%	-23%	28%	3%	1%	0%
RTX 200C	5	100	28%	25%	+2.5%	+3.7%	+15%	-15%	24%	0%	0%	0%
DRAM 75C	3	24	77%	58%	+10.2%	+9.2%	+48%	-27%	42%	21%	4%	0%
GLD 410C	3	102	24%	23%	+1.5%	+1.5%	+15%	-15%	24%	3%	0%	2%

DRAM has 24 weekly windows (listed 2026); its row is indicative.

Name	Result at \$375 ticket cap
GDX	Passes: 98C Nov, 100C Dec
NVDA	Passes in Tranche 1 only (reports Nov 18); Dec 260C passes screens but cannot be held to Nov 25
RTX	Passes in Tranche 2 or 3 (Dec 200C); Tranche 1 excluded by the Oct 20 print
GLD	Passes only as Dec 410C in Tranche 3 (\$346); Nov 405C is \$484

Name		Result at \$375 ticket cap
DRAM	Passes as Dec 70C / 75C in Tranche 3 only (SK hynix, late October)	
BA	Passes as Dec 215C / 220C in Tranche 3 only (Oct 27 print)	
INTC	Nov 155C passes screens; excluded by the Oct 22 print	
SPY	690P and 695P pass; 690P is 18% of the book	
VRT, SKHY, CEG, GEV, AMD, MU, MRVL	Ticket above \$375 at every quoted strike	
NOC, LHX, LMT, VICR, LITE, TER	Open interest and spread, as in V4 and V6	

Rules of Engagement at Whole-Contract Size

- Entry gates (unchanged from V6). Tranche 2 proceeds on Oct 22 unless the Oct 14 CPI lifts December hike odds above ~90%; either delays it one week. Tranche 3 proceeds on Nov 5 unless the book is below -25% on Nov 4, in which case the weakest line is skipped and its cash kept.
- Cuts. Any line at -50% of its premium after half its hold is closed and not redeployed in that name. Any contract at 4 days to expiry is closed regardless of mark.
- Profit-taking. V6 sells thirds, which a one-contract line cannot do. The DRAM line (two contracts) sells one at +100%. Single-contract lines have a stop at +50% once they reach +150%, and are sold in full at +300% or at the exit date.
- Roll-ups. On Nov 16 the NVDA proceeds roll into a December contract only if they cover a whole contract at 25 delta; otherwise they go to cash.
- Exits. Nov 16 for Tranche 1 and Nov 25 for Tranches 2–3, before the Nov 18 NVDA print, before Thanksgiving, and three weeks before the December MU print.

Key Findings

- NVDA and GLD carry 53% of Gamma Upside P&L on 46% of premium: NVDA has the largest 42-day move in the book (one s.d. is 11.5%, so +3 s.d. is 35%), and GLD has the highest gamma per dollar of any contract that clears the screens (4.09 per \$100).
- The book is more convex than V6 at one-third the size. Gamma Upside +1009% against +857% for V6 at \$5,000, Bull +468% against +413%, Base +63% against +59%. The price is the Shock Case: -90% against -12%, because the cheapest SPY put is 18% of the book at this size.
- Week one risks 19% of the book. One NVDA contract is held through the CPI; everything else is bought after its event clears.
- Where the ladder is least supported. The +3 s.d. threshold has never printed in the lookback for RTX 200C, GLD 410C; the highest hit rate on +3 s.d. is 4% (DRAM 75C). The Gamma Upside column is the model's assumption for most of this book, not history.
- A flat tape costs 68%. The re-rate table shows what would have to happen to implied volatility to avoid it.

Assessment

RWS V6-S is the V6 process at the size where whole contracts and a \$375 ticket cap decide the book. Five lines and 6 contracts survive the screens and the event rule; the exhaustive search picks the combination with the highest mean Base / Bull / Gamma P&L: NVDA 260C, GDX 100C, RTX 200C, DRAM 75C x2, GLD 410C. It returns -68% / +63% / +468% / +1009% / -90% across Flat, Base, Bull, Gamma Upside and Shock on the vol-normalized ladder, and +503% / +1034% / +1611% on the standing +18% ladder. Against V6 it trades the hedge and the AI-power sleeve for a higher upside; the hedged variant restores a +137% Shock Case at +30% Base. In both books a flat tape through the exits loses most of the premium.

Endnotes

- (1) Tranche 1: entry October 5, exit Monday November 16, 2026, contracts expiring November 20 (42-day hold). Tranche 2: entry October 22. Tranche 3: entry November 5. Both exit Wednesday November 25, 2026 in contracts expiring December 18, 2026. Event dates are from the Bigdata.com corporate calendar and public Federal Reserve and BLS schedules; CPI dates are approximate.
- (2) Quotes: Interactive Brokers. Nov 20 '26 mids and Dec 18 '26 bid/ask as quoted on October 2, 2026 after the close; SPY Dec 18 '26 690 and 695 puts quoted live October 5 with SPY at 770.53. Implied volatility is backed out of each mid by Black-Scholes ($r = 4\%$, $q = 0$) at the quote date. Tranche 2 and 3 entry prices re-price that volatility at the tranche entry date with spot unchanged. Screens: delta 0.18–0.40 at entry (puts 0.08–0.22), open interest ≥ 500 , spread $\leq 25\%$ of mid, ticket $\leq 25\%$ of \$1,500 (\$375), call IV $\leq 1.25\times$ one-year realized, no earnings date inside the hold.

- (3) Vol-normalized ladder: $s.d. = \text{entry IV} \times \sqrt{(\text{hold} / 365)}$; Base, Bull and Gamma Upside move the underlying +1, +2 and +3 s.d. at entry IV; Shock moves it -2 s.d. and raises IV 10 points; each leg is marked at its own exit date. The standing ladder is the V3–V5 definition (Flat 0%; Base +18%; Bull +18% + 1 s.d.; Gamma Upside +18% + 2 s.d.). Optimizer: exhaustive search over one line per name (one or two contracts of one strike in one allowed tranche) subject to line $\leq 30\%$, sleeve $\leq 40\%$, Tranche 1 $\leq 30\%$, Tranches 1–2 $\leq 62\%$, total $\leq 92\%$, at least four lines and three sleeves; objective is the mean of Base, Bull and Gamma Upside P&L.
- (4) Backtest: Interactive Brokers weekly closes, two-year lookback through the September 28, 2026 bar, overlapping forward returns over each leg's hold rounded to weeks; $n = 99\text{--}102$ for names with full history, 24 for DRAM. One-year realized volatility is the annualized standard deviation of the last 52 weekly log returns.

Model code: `memos/optimize_v6_small.py` (search) and `memos/model_v6.py` (pricing, ladder, schedule); quote universe in `memos/quotes_v6.py`.

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Indicative Entries and Size. Tranche 1 entry prices are model values at October 5 from October 2 quotes; Tranche 2 and 3 entry prices are model values at a future date under the assumption of unchanged spot and implied volatility. None are quotes. At \$1,500 each contract is 6% to 23% of the book, a bid-ask spread of a few cents is a material share of the premium, and the book holds five lines; results are therefore more sensitive to fills and to any single line than the \$5,000 book.

Optimization. The allocation maximizes a model objective over a fixed quote set, fixed screens and a fixed scenario definition; it has no view on the likelihood of any case. A different objective, such as including the Shock Case, selects the hedged variant.